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THE WHITE HOUSE
WASHINGTON

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PER E.O. 13526

2009-1032-MR
SS 7/11/14

MEMORANDUM OF CONVERSATION

SUBJECT: Meeting with John Major of the United Kingdom (U)

PARTICIPANTS: U.S.
The President
James A. Baker, III, Secretary of State
John H. Sununu, Chief of Staff
Brent Scowcroft, Assistant to the President
for National Security Affairs
Marlin Fitzwater, Assistant to the President
and Press Secretary
Robert M. Gates, Assistant to the President
and Deputy for National Security Affairs
Robert D. Blackwill, Senior Director,
European and Soviet Affairs, NSC Staff
(Notetaker)
Raymond Seitz, Assistant Secretary of State

United Kingdom
John Major, Foreign Secretary
Sir Antony Acland, Ambassador to the U.S.
Sir Patrick Wright, Permanent Undersecretary
Stephen Wall, Private Secretary
Andrew Burns, Press Secretary

DATE, TIME September 11, 1989, 10:00 a.m. - 10:35 a.m.
AND PLACE: Oval Office

The President welcomed the Foreign Secretary and hoped that he would have a good discussion later in the day with Secretary Baker. The President felt the U.S. and the U.K. were together on most issues. He had talked to Prime Minister Thatcher and they were in agreement on Poland, the anti-drug effort, and what the G-7 might do regarding Columbia. The only difficulty was in the Alliance's failure to meet its September 7 deadline for tabling the remainder of its new proposal in the CFE negotiations. That had caused the President some grief. The Allies need to move this matter forward. NATO must keep momentum and not signal a loss of interest. (§)

The Foreign Secretary thought the obstacles within the Alliance on CFE could be overcome and that he and Secretary Baker could make progress later in the day. He hoped there would be no undue

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delay. The Foreign Secretary felt the President understood London's concerns about non-circumvention; the new U.S. language was very helpful. (Ø)

The Foreign Secretary added that, as the President knew, the Prime Minister hoped to come to the United States as soon after the opening of Parliament on November 14 as could be arranged. (Ø)

The President said he hoped for an informal session with the Prime Minister on a wide array of issues. (Ø)

The Prime Minister would like that, the Foreign Secretary replied. She has Gorbachev on her mind, he said, in quite a big way. On drugs, the President's initiative is going down very well in the United Kingdom. The U.K. had its own team in Bogota last week and London wanted to help. The British government would also be pushing its European partners for more involvement. (Ø)

The President asked if the British sensed that Barco was going to last the course. (Ø)

The Foreign Secretary said yes. Barco has made clear his determination to stand up to a bunch of hoodlums. (Ø)

On Poland, the Foreign Secretary said the U.S. and the U.K. shared the same objectives. The Poles need a proper IMF agreement. The West should not smother them with so much help that they do not take the necessary steps. The British government was also wondering what Gorbachev's real goals are in Eastern Europe. The Foreign Secretary said he did not know. (Ø)

The President said that Prime Thatcher would have a chance to look into this question when she was in Moscow on September 23rd. Congress had discovered Poland and pressure was building on the Hill. The U.S. might be able to do more on food aid, but the West should be sure it was not throwing money at the problem without the needed structural reforms in Poland. (Ø)

Secretary Baker asked if the British government was on board for Paris Club rescheduling before an IMF agreement. (Ø)

The Foreign Secretary said his Treasury Department would prefer an IMF agreement first. (Ø)

The President asked if Boris Yeltsin would be visiting the U.K. (Ø)

Not yet, the Foreign Secretary said. Continuing, he noted that there were a couple of problems of special concern to the Prime Minister. First among these was Hong Kong and the Vietnamese boat people. This issue had taken an immense amount of the Foreign Secretary's time. On Hong Kong, London knew where it wanted to go,

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but was not sure about how to get there. There were no signs of panic in Hong Kong, but much less confidence than before June. The Chinese leadership was now being uncooperative about Hong Kong and the modalities that still need to be negotiated. (S)

The President asked about what had happened in the Hong Kong market. (S)

The Foreign Secretary said the market had survived remarkably well. This was a mixed blessing, because the Chinese asked how the British could cite a loss of confidence when the stock market was doing so well. Still, it would be quite a job to restore the confidence of the population of Hong Kong. (S)

The President asked if the Foreign Secretary was under pressure to be tougher on the Chinese. (S)

The Foreign Secretary said the British government was happy to stay where it was for the time being. (S)

The President noted that there could be further surprises in China; the West needed to be prudent. U.S. domestic pressure was manageable now, but could increase from both the left and the right, and the Chinese were increasingly blaming the U.S. for their problems. (S)

Secretary Baker asked what sort of contacts the British had through their Embassy in Beijing. (S)

Low level, the Foreign Secretary replied. The situation was pretty much a standoff at the moment. Continuing, the Foreign Secretary noted that when the President saw the Prime Minister he had touched on the problem of intelligence, cooperation, and the need to improve it. London had a package which would be given to Judge Webster in October. (S)

The President asked if the Foreign Secretary had any brilliant ideas on how to solve the Lebanon problem. (S)

The Foreign Secretary said that some people were concerned about the U.S. taking its diplomats out because the Syrians might be further emboldened and increase their military effort, and because some might conclude the U.S. had given up. The U.K. was grateful for the U.S. offer to take out British diplomats at the time of the American evacuation, but the British officials were under no unusual threat. The Western nations should try to reduce the degree of shelling, even if they could not stop it entirely. (S)

The President said the U.S. took its people out because this crazy, Aoun, was threatening them. (S)

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The Foreign Secretary commented that moderates in Amal would want the U.S. to return its Embassy as soon as possible. (S)

The President said he hoped to do that. The situation was so complicated, and so sad. Did the U.K. have any representation in Syria? (S)

Permanent Undersecretary Wright said it was only an interest section, a very small operation. (S)

The Foreign Secretary wondered how much longer the Palestinian problem could remain static. (S)

The President remarked that the only game in town is elections in the occupied territories, but he was pessimistic. (S)

The Foreign Secretary asked if Shamir was willing to make concessions. (S)

Secretary Baker said that would only be known when there are face to face negotiations. Shamir's willingness could not be tested before that point. (S)

The President said the situation was discouraging. (S)

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